

Social Capital: The New American Dream

Americans are so individualistic and optimistic that they are individualistic about their optimism. In 1997, Pew Research Center (1997) reported that more than half of Americans were optimistic about their own future but only 41% were optimistic about the nation's future. Nearly three decades later, Pew Research Center (2024) reported that Americans are more optimistic about their own economic situation than the national economy at large. From the 19th century observations of Alexis de Tocqueville and Jacksonian era politics to the modern use of metrics like "Small Business Optimism" as nodes of political rhetoric, the individualistic and optimistic nature of the American psyche is evident (Beinhart, 2015; Zakaras, 2022; Trump, 2025).

Optimism and individualism are the philosophical and psychological underpinnings of the "American Dream." The American Dream, as defined ironically by the Oxford English Dictionary, is "the ideal that every citizen of the United States should have an equal opportunity to achieve success and prosperity through hard work, determination, and initiative" (Churchwell, 2021). Those on the lowest rungs of society have a shot at success so long as they embrace the cult-like devotion to values of the self – self-made, self-reliant, self-governed, etc... – that compose the cultural profile of American individualism (Zakaras, 2022). Even though the American Dream is precisely a dream, American optimism has realized this dream as culturally axiomatic – say optimism about optimism. Consequently, the American Dream is immortalized by its own circular logic: an individual's success is attributed to their hard work and ingenuity, so another's failure is entirely a result of their poor work ethic and unworthiness.

While it may be a cultural reality, one thing is for certain: the American Dream is not an economic reality. The rate of *absolute income mobility*, which Chetty et al. (2017) defines as "the fraction of children earning or consuming more than their parents," has been declining in the

United States since the 1940s. Of children born in 1940, 92% could expect to outearn their parents. Conversely, only 50% of children born in 1984 could expect to outearn their parents (2017, pp. 8-9). American Dream originalists could point to the dwindling work ethic of *today's youth* to explain this trend, but Chetty et al. (2017, p. 17) also shows that if economic growth were evenly distributed across income levels, then 71% of the difference between the rates of *absolute income mobility* for the 1940 and 1984 birth cohorts would be eliminated. Clearly, economic inequality is at the root of this decline. The nature of the *Great Gatsby Curve*, which depicts the tendency of countries with higher levels of inequality to also have lower levels of income mobility, supports this conclusion. Corak (2013) argues that the inverse relationship between inequality and income mobility can be attributed to how a parent's education and economic resources shape the opportunities to which their children have access. Where resources are unequally distributed, opportunities are unequally distributed, and it follows that the outcomes would be too. Hard work is not enough.

With *absolute income mobility* declining, American Dream optimists may point to Chetty et al.'s (2014) finding that rates of *rank-based intergenerational income mobility* did not change significantly from 1971 to 1993. The probability of a child born in the 1970s "moving up in the income distribution relative to their parents" is not statistically different from children born in the 1990s (Chetty et al., 2014, p. 10). Stable rates of *rank-based intergenerational income mobility* seems like good news for the American Dream, but the main determinant of whether an individual experiences intergenerational income mobility is not hard work. It is the "birth lottery": the neighborhood in which a child grows up (Chetty et al., 2014, p. 9). Surely, this can not be reduced to the notion that people born in some regions are inherently lazier or less ingenious than those born in others. The role of the regional birth lottery in determining one's

likelihood of relative income mobility contradicts the precept of equal opportunity upon which the American Dream stands. If opportunity is not declining, it is at least unequal.

One can not completely disregard how personal choices affect economic outcomes, but it is clear that circumstances play a major role. If income mobility is not entirely a matter of how hard an individual tugs on their bootstraps, then what does determine their ability to make it in America? Parental income, parental education, and race are all regarded as critical factors (Hertz, 2005; Corak, 2013). Contemporary economists highlight the role of geography, mediated by neighborhood characteristics, in predicting generational income mobility and other economic outcomes (Rothwell & Massey, 2015; Chetty et al., 2018). I will discuss the role that the neighborhood in which a child grows up plays in determining their income mobility with respect to their parents. I argue that social capital mediates the relationship between geography and income mobility when circumstantial factors like family background are considered. After establishing the relationship between neighborhood, social capital, and income mobility, I parse how social capital is generated and why access to social capital impacts income mobility. Finally, I consider the limitations of social capital and evaluate whether “increasing social capital” is a viable approach to increasing rates of intergenerational income mobility within communities.

Through the 2000s and 2010s, a body of economic research has shown that the neighborhood in which an individual grows up is significantly associated with their propensity to experience upward economic mobility. In “Geographic Effects of Intergenerational Income Mobility”, Rothwell & Massey (2016, p. 13) estimate that if an individual were born in a top quartile neighborhood rather than a bottom quartile neighborhood, then their lifetime household earnings would be \$508,000 higher at age 34, on average. Chetty et al. (2014) arrives at a similar conclusion in his paper “Where is the land of Opportunity? The Geography of Intergenerational

Mobility in the United States.” The researchers found that the probability of a child born into a family in the bottom quintile of the national income distribution going on to earn in the top quintile varies significantly by geographic area, down to the neighborhood. This geographic variation is strongly associated with residential segregation, primary school quality, income inequality, family stability, and, most pertinently, social capital (2014, pp. 1619-1620). Clearly, the neighborhood in which a child is raised is relevant to their income mobility. Though, whether place-based variation in intergenerational income mobility is caused by the features of the place itself or is simply a reflection of the people who live there has been a major subject of debate.

The question of causality haunting the association between neighborhoods and intergenerational mobility as well as the underlying mechanisms that drive it were addressed by Chetty & Hendren (2018)’s two paper series: “The Impacts of Neighborhoods on Generational Mobility.” In “The Impacts of Neighborhoods on Generational Mobility I: Childhood Exposure Effects,” Chetty & Hendren (2018a) use decades of U.S. tax records to establish the extent to which the effects of childhood neighborhood exposure on generational mobility are causal and that these effects are linearly related to the number of years that child lives in such neighborhood. To do so, Chetty & Hendren (2018a, pp. 1108-1109) design a quasi-experimental approach that compares the outcomes of children that move from low mobility neighborhoods to high mobility neighborhoods (and vice versa) to the outcomes of children who were lived in the destination neighborhoods their entire lives. To address the notion that self-selecting characteristics of families who choose to move may introduce omitted variable bias, they also compare the outcomes of children who move at different ages (2018a, p. 1109). For such age-comparison to fully consider the potential for endogenous choice, the authors rely on the assumption that the self-selection effects do not vary with the age of a child when their family moves (2018a, p.

1109). Chetty & Hendren (2018a, pp. 1111-1113) control for time-varying and individual-fixed characteristics, analyze a subset of moves likely caused by exogenous shocks, and conduct outcome-based placebo tests across gender and family income to verify this assumption.

For the baseline analysis, Chetty & Hendren (2018a, pp. 1116-1117) analyze the tax records of individuals who filed an income tax return between 1996 and 2012 and also claimed a child born between 1980 and 1988 as a dependent. They further restrict the sample to the children of parents who would have been between 15 and 40 years old at the child's birth and to children whose mean parent income was positive between 1996 and 2000. Then, the sample for the baseline analysis was divided into stayers and movers, where stayers reported a zip code of residence associated with the same Commuting Zone (CZ) from 1996 to 2012 and movers did not. The sample for the baseline analysis was again restricted to those who reside in CZs with 2000 census populations of at least 250,000 (2018a, p. 1117). To derive parental lifetime income, Chetty and Hendren added the adjustable gross income, tax-exempt interest income, and the non-taxable portions of SSDI benefits for each individual, in each year between 1996 and 2000, and used the period average as a proxy for lifetime income. They do the same for income earned between the ages of 24 and 30 to derive the children's lifetime income (2018a, pp. 1118-1119).

Their empirical framework first entails regressing children's income ranks on their parent's income ranks, among stayers, and calculating the mean rank for children born in given cohort in a given CZ of a given income percentile (Chetty & Hendren, 2018a, pp. 1123-1124). With the goal of measuring the neighborhood exposure effects, they regress the income ranks of children who move at different ages on the mean rank for stayers in their destination neighborhood of the same cohort with the same parental income. The neighborhood exposure effect is thus the difference between the magnitude of the exposure parameter at one moving age

and its magnitude had the child moved one year later (2018a, pp. 1126-1127). Chetty & Hendren (2018a, pp. 1132-1133) conclude that, on average, the outcomes of moving children converge to those of permanent residents at a near constant rate of 4.4% per year of neighborhood exposure up to age 23. Colloquially, suppose a child moves to a neighborhood with better income mobility outcomes. Then, with each additional year of residence, about four percent of the gap between their expected outcome had they been a permanent resident of that neighborhood and their expected outcome had they never moved at all is eliminated (2018a, pp. 1159-1160).

However, the measured exposure effect rests on the assumption that the covariance between mover self-selection effects and the age of moving children at the time of their move is zero. To verify this assumption, the researchers test for omitted variable and selection bias. First, they compare the outcomes of siblings to assess potential selection bias from family fixed factors (Chetty & Hendren, 2018a, pp. 1141-1144). Next, they control for changes in parental income and marriage status to account for observable time-variants (2018a, pp. 1144-1145). The researchers also analyze a subset of moves likely driven by displacement shocks to rule out omitted variable bias from time-variant unobservables, and conduct subgroup tests of convergence across gender, birth cohort, and family income. In each of the tests, Chetty & Hendren (2018a, p. 1155) return almost the same estimate as their baseline analysis. Thus, it is unlikely that their model is affected by omitted variable or selection bias.

Hence, Chetty & Hendren (2018a, p. 1140) conclude that children who move to higher opportunity neighborhoods earn more as adults. This increased earnings potential is a function of the duration of neighborhood exposure as a child, and the effect of an additional year of exposure is constant up to age 23. Therefore, not only is the neighborhood in which a child grows up one of the most prominent determinants of whether a child experiences intergenerational income

mobility, but the neighborhood effect is causal. The neighborhood in which someone grows up affects whether they will experience the privilege of the American Dream.

Having established the causal nature of place in predicting intergenerational income mobility, understanding why and the extent to which place matters is necessary to understand the fleeting American Dream. The second paper of Chetty and Hendren's series on intergenerational income mobility – "The Impacts of Neighborhoods on Intergenerational Mobility II: County-Level Estimates" – investigates the degree to which place matters and unpacks the qualities of high-opportunity areas (Chetty & Hendren, 2018b). They use a fixed effects model to measure the causal effect of growing up in 3,000 U.S. counties on children's eventual ranks in the income distribution (2018b, p. 1164). Using the county-level effects, the researchers estimate the annual effect of a child living in a one standard deviation *better* county on their adult income, forecast the causal effect of growing up in each county, and define the common qualities of high opportunity areas, isolating the causal effect of each place-based quality (2018b, pp. 1165-1169).

The data and variable definitions from this paper are identical to that of Chetty & Hendren (2018a), except they limit the sample to children born between 1980 and 1986 because they analyze incomes at age 26, and they eliminate population-based exclusions on CZs and counties in their analysis (Chetty & Hendren, 2018b, pp. 1171-1172). Focusing on children whose parents earned at the 25th and 75th income percentiles and exploiting the linearity of intergenerational mobility, Chetty & Hendren (2018b, p. 1180) derive the fixed effect estimates for county and CZ causal effects. Since the assumption that place-specific exposure time is uncorrelated with other determinants of income mobility is necessary for the estimates to be unbiased, they conduct placebo tests and control for changes in parent income and marital status to ensure the absence of omitted time-varying and family-fixed factors (2018b, p. 1176).

After deriving the causal effect estimates, they extract the magnitude of the place effects by estimating their standard deviations. This entails partialling out the portion of the variance in fixed effects that is due to sampling noise, and taking the square root of the portion of the variance that is actually explained by place. Then, they weight the standard deviations to obtain the most efficient parameter estimates (Chetty & Hendren, 2018b, pp. 1187-1188). They find that, for low income children, growing up in a CZ (county) with one standard deviation *better* outcomes is associated with a 2.65 (3.3) percentile increase in expected income rank (2018b, pp. 1188-1190). For the children of high income families, the magnitude of place effects were smaller but still significant (2018b, p. 1191). Chetty & Hendren (2018b, p. 1193) then generate county level forecasts of the place effects that prioritize minimizing the sum of squared error between actual and predicted exposure effects. Among the 100 largest counties in the U.S., DuPage County, IL provides the best outcomes for children in below medium income earning families, and high income children fare the best in Fairfax County, VA (2018b, pp. 1204-1206).

Finally, Chetty & Hendren (2018b, p. 1207) analyze their county- and CZ- level causal effect estimates to determine the extent to which the association between neighborhood characteristics and intergenerational income mobility are driven by sorting versus causal mechanisms. Using the Theil Index of racial segregation, they find that growing up in a one standard deviation more segregated CZ is correlated with 5.2% reduction in income for the children of low income families, 80.8% of which is reflected specifically by the causal effect of place rather than selection (2018b, p. 2010). Likewise, they determine that not only does growing up in CZ with one standard deviation more income inequality (Gini Coefficient) reduce a low income child's adult income by 6.4%, but they also determined that unobservable selection variables associated with income inequality cloud its true effect in observational data (2018b, p.

2012). Although, their most notable finding pertained to the causal effect of social capital. The correlation between a CZ's measure on the social capital index and children's outcomes is 0.70, and nearly 100% of this correlation is explained by the causal effects of place rather than selection. Further, growing up in CZ with one standard deviation higher social capital index increases a low income child's adult income by almost 6.4% (2018b, pp. 1209-1213). By estimating the causal effects of place and forecasting the exposure effect of growing up in specific CZs and counties, Chetty & Henderson (2018b) identify the characteristics of neighborhoods that likely drive generational mobility: racial segregation, income inequality, and social capital. While they do not parse whether the causal nature of these shared qualities is direct (p. 1208), the mechanisms that underpin these features clearly drive income mobility in some way. The results that high levels of income inequality have a depressive effect on generational mobility and high levels of social capital have a positive effect corner the irony of the American Dream's anti-redistributional (Alesina et al., 2018) and individualist undertones.

Moreover, the specific importance of social capital to facilitating upward income mobility largely vindicates the message that Robert Putnam – the author of “Bowling Alone: The Collapse and Revival of American Community” – has been hammering for years: the decline of social capital in the United States has reduced civic engagement and thus threatened the integrity of democracy. The modern individualist interpretation of the American Dream, an interpretation that does not value community and connectedness, is a threat to American democracy and a threat to the American Dream itself. If access to social capital partially determines an individual's ability to realize the American Dream, repairing – or, rethinking – the American Dream is then a question of determining the extent to which spatial access to social capital effectuates income mobility. In “Social capital I: Measurement and Associations with Economic Mobility,” Chetty et

al. (2022a) pursues the answer.

Wielding the power of the internet, Chetty et al. (2022a, pp. 108-109) uses Facebook data on the friendships of more than 70 million users aged 25 to 44 to evaluate the relationship between three types of social capital – economic connectedness (EC), social cohesion (SC), and civic engagement (CE) – and the levels of upward economic mobility across ZIP codes reported in Chetty et al. (2014). To measure a ZIP code's EC, defined by the extent to which people of different socioeconomic statuses maintain friendships, the authors first enter socioeconomic status (SES) indicators like average neighborhood income and self-reported education level into a machine learning algorithm to generate an SES index. From this index, they calculate each Facebook user's percentile SES rank (Chetty et al., 2022a, p. 109). After showing that the correlation between a user's SES rank and that of their friends does not depend on friendship closeness, Chetty et al. (2022a, p. 109) conclude that the strength of the friendships are not relevant to resulting estimates. A ZIP code's level of EC is therein defined as “the average share of [high]-SES friends among [low]-SES members of that community divided by 50% to quantify the average degree of under-representation of high-SES friends among low-SES people,” such that ZIP codes with an EC of 0 have perfect disconnection between low-SES and high-SES users, and all low-SES users in ZIP codes with a value of 1 have a perfect split of low- and high-SES friends (2022a, p. 110). To measure SC, they consider, each on a 0 to 1 scale, ZIP code rates of *clustering* – a user's friends are friends with their other friends –, *support ratio* – pairs of friends have at least one mutual friend –, and *spectral homophily* – intensity of a network's group fragmentation (2022a, p. 112). They also explore CE as social capital by 1) using the density of civic organizations in a county and 2) the share of users who advertise membership in one or more volunteering groups in each ZIP code as a proxy for volunteering rates (2022a, p. 113).

At the County-level, Chetty et al. (2022a, p. 113) find that there is a strong, positive correlation between EC and upward income mobility, meaning children who grow up in counties with high ECs, generally end up higher in the income distribution than children who grow up in counties with low ECs. Specifically, a 25 percentage point increase in county EC “is associated with an 8.2 percentile increase in” the adult incomes of children who grow up in those counties (2022a, p. 113). The ZIP code-level results are similar. On average, a 0.5 increase in ZIP code EC is associated with an 11 percentile increase in the average adult incomes of low-income children (2022a, p. 114). These relationships do not hold for rates of SC and CE, as the researchers did not find any significant relationship between the non-EC forms of social capital and upward mobility at the county- or ZIP code-levels (2022a, pp. 114-115). Additionally, by clustering correlation coefficients on county, they discover that the strength and the direction of the relationship between EC and upward mobility is homogenous across ZIP codes, but it is quite heterogeneous when it comes to measures of SC and CE (2022a, p. 115). Thus, Chetty et al. (2022a, p. 115) conclude that there is no verifiable relationship between measures of SC and CE.

Next, Chetty and his team evaluate whether the correlation between EC and area-specific economic mobility is explained by the causal effects of place or if it is a product of reverse causality, selection bias, or omitted variables (Chetty et al., 2022a, p. 115). To test for reverse causality, whereby high levels of upward economic mobility drive cross-income socialization, they use childhood friendships and parents’ SES to calculate users’ childhood EC, and they calculate the correlation between economic mobility and EC before people have had any chance to experience upward economic mobility. The correlation coefficient they obtain in the analysis is still positive and significant (Chetty et al., 2022a, p. 116). Testing for selection bias, as families who choose to live in high (low) EC areas may have unobserved characteristics that are

separately associated with high (low) levels of mobility (e.g. race and ethnicity), they 1) repeat their baseline analyses while conditioning on race, and 2) assess the correlation between EC and causal place effects as constructed in Chetty et al. (2018b). Even when conditioning on race and testing the relationship against the causal effects of place, Chetty et al. (2022a, p.116) find that the significant correlation between EC and economic mobility persists. Finally, they consider the potential presence of omitted variables like concentration of poverty, Black population share, and school quality (2022a, p. 117). Regressing economic mobility on EC while controlling for these potential omitted variables, the relationship between place-specific EC and economic mobility remains strong, and EC even absorbs much of the variation in economic mobility associated with these other factors (2022a, p. 119). Not only does the significant, positive relationship between EC correlated with area-specific upward economic mobility persist when tested for reverse causality, selection, and omitted variable bias, but economic connectedness as a form of social capital may also mediate the relationship between other neighborhood characteristics (e.g. racial segregation, income inequality, etc...) and upward mobility (2022a, p. 120).

The explanatory potential of EC as a sub-measure of social capital demonstrates how having connections across income and education levels that may shape life trajectories and provide access to resources is essential to climbing the income ladder. Given the immense power of social capital to perpetuate intergenerational mobility within neighborhoods one must wonder whether the key to reviving the American Dream is hidden in a policy package that will increase social capital in the neighborhoods that need it most. The design of any such package requires one to carefully evaluate the determinants of social capital at the neighborhood level, as well as the economic risks and limitations of social capital.

Researchers at Opportunity Insights explore the mechanisms and determinants of social

capital in “Social Capital II: Determinants of Economic Connectedness” (Chetty et al., 2022b). In particular, Chetty et al. (2022b, p. 122) estimate the extent to which differences in rates of EC within groups are determined by differences in *exposure* versus differences in *friending bias*. *Exposure* is defined as the share of high-SES people in the groups of which one is a member, and a group’s *exposure* is measured as “the share of individuals in the group with [high]-SES multiplied by two.” In contrast, *friending bias* is, conditional on exposure, the rate at which low-SES people form friendships with high-SES individuals, and a group’s *friending bias* is measured as “one minus the share of friends they make in that group who have high SES divided by the share of people in the group who have high SES.” Hence, if friendships were generated at random, *friending bias* would converge to zero (2022b, p. 123). They also consider how the settings in which low- and high-SES individuals tend to form friendships – *friending shares* – may also contribute to differences in EC.

The researchers measure *exposure*, *friending bias*, and *friending shares* in six common social settings: high schools, workplaces, colleges, religious organizations, recreational groups, and neighborhoods, using the same data from Chetty et al. (2022a) but restricting the dataset to individuals who have at least one friendship attributed to the aforementioned settings (Chetty et al., 2022b, p. 123). They conclude that *friending shares* for low-SES people are highest in neighborhoods (more than four times that of high-SES people) and lowest in colleges, while the reverse is true for high-SES people (2022b, p. 124). Similarly, EC is higher for those with high-SES in all settings but highest in college, while EC is lowest for those with low-SES in neighborhoods, where they make the majority of their friends. *Exposure* is highest for both SES groups in college and lowest in neighborhoods. *Friending bias*, on average, is highest in neighborhoods and lowest in religious groups (2022b, p. 125). Chetty et al. (2022b, p. 126) go on

to construct counterfactuals, estimating how much of the difference in average EC between low- and high-SES individuals is attributed to *friending shares*, *exposure*, and *friending bias*. They find that equating *friending shares* between high- and low-SES individuals across settings only closes 12% of the EC gap between high- and low-SES individuals, but equating *exposure* in addition to *friending shares* decreases the EC gap by a total of 54%. *Friending bias* accounts for the remaining 46% (2022b, p. 126). Thus, differences in *friending bias* and *exposure* explain the difference in EC between the average low-SES person and high-SES person nearly equally.

Returning to the geographic lens, Chetty et al. (2022b, p. 126) employ a similar process using average EC across zip codes rather than individual coefficients. They find that 73% of the difference in EC between the average low-EC zip code and the average high-EC zip code is explained by *exposure*, while 16% is explained by *friending bias*, and 11% by differences in *friending shares* (2022b, p. 127). Notably, they find that measures of *exposure* are more consistent within geographies and *friending bias* measures are more consistent within settings (2022b, p. 127). That is, the extent to which *friending bias* influences a low-SES individual's EC tends to be a characteristic of the types of settings in which they participate: college vs. religious group vs. workplaces etc..., while their exposure to high-SES groups tends to be a characteristic of geography – where they live. To test the relationship between these potential mechanisms of EC and regional upward economic mobility, they regress the logarithmic transformation of upward mobility, as defined in Chetty & Hendren (2018a), on the logarithmic transformations of *exposure* and *friending bias* across zip codes (2022b, pp. 127-128). The model returns an elasticity of 0.25 for *exposure* and 0.19 for *friending bias*, meaning that a 10% increase in a zip code's *exposure* is associated with a 2.5% increase in its upward income mobility, and a 10% decrease in its *friending bias* is associated with a 1.9% increase in generational mobility (2022b,

p. 128). Further, they replace the independent variable with the logarithmic transformation of the county effects to parse whether and how much of the causal effect of place at the county-level is driven by rates of *exposure* and *friendship bias*. Again, they find that the elasticity coefficients are strong and significant – 0.29 for *exposure* and 0.14 for *friendship bias* (2022b, p. 128). Hence, children in low-income families who move to neighborhoods with higher levels of *exposure* or lower *friendship bias* earn more as adults, on average. The mechanisms behind EC's relationship with upward mobility are rooted in cross-class interactions. A neighborhood's EC as a form of social capital is a significant medium for upward mobility among the children who grow up in that neighborhood, and such EC is equally a function of cross-class exposure and the propensity for people to form cross-class friendships conditional on that exposure.

After exploring these mechanisms in the specific contexts of high schools and colleges, Chetty et al. (2022b, p. 133) discuss potential policy approaches for increasing *exposure* and reducing *friendship bias*. For tackling *exposure* differences, they cite reforming college admissions, improving socioeconomic integration in schools, and implementing strategic zoning and affordable housing reform as promising policies (2022b, p. 133). Though, they argue that even if perfect group integration were accomplished, nearly half of the gap in EC would remain due to *friendship bias*, and methods for reducing it are less clear (2022b, p. 133). In schools, reducing group size and tracking may help. Spatially, retrofits to the built environment and the development of social infrastructure could promote cross-class interactions. Institutionally, programs designed to facilitate cross-SES interactions – like the trainer matching initiative at Inner City Weightlifting in Boston – have been anecdotally successful (2022b, p. 133).

Moreover, suppose we were able to increase a given neighborhood's EC through policy intervention. Would this artificial dose of connection promote intergenerational mobility as

effectively as naturally occurring social capital, and would such an intervention come without risk? Researchers have yet to provide a definitive answer as to the extent to which policies and institutions can promote economic mobility by constructing social capital, but they have certainly not shied away from discussing the downsides of social capital. In their comprehensive literature review on the negative aspects of social capital “The Dark Side of Social Capital: A Contextual Perspective”, Baycan & Oner (2023) discuss the dangers of bonding networks, limitations of bridging networks, the burdens of kinship, potential for corruption and organized crime, and negative effects on innovation that may arise from social capital.

Speaking to bonding networks – social capital built on commonality, Baycan & Oner (2023, pp. 784-785) argue that these strong networks built on shared qualities and ideologies can lead to connections that are so strong that outsiders are excluded and even not tolerated. These groups can be detrimental to society in the sense that they can undermine democracy and produce a sort of collective antagonism – think terrorist organizations. Examples of bonding social capital gone wrong include the formation, action, and social permeation of groups like the Mafia, Ku Klux Klan, skinheads, and the Nation of Islam (2023, p. 785). Bridging networks – referring to connections made between bonded groups – may mitigate the externalities of intolerance and exclusion. Though, bridging networks have limitations, as they often produce unequal costs and benefits for the groups involved, causing tension and reluctance (2023, p.785).

Baycan & Oner (2023) continue by asserting that other forms of social capital can have negative economic effects. They reflect on the *Kinship Paradox*, outlining how those born into families with extensive kinship networks benefit from safety nets and mutual support but also have little autonomy regarding their decision to participate in those networks. Because membership in kinship networks is not voluntary, many families attempt to “evade their ‘sharing

obligations” by saving less and purchasing durable items that are difficult to share. This fuels the finding that participation in extensive kinship networks is often associated with lower incomes and expected income mobility (2023, pp. 786-787). They also introduce concerns that high levels of social capital may increase corruption and organized crime, which generate benefits for a few but reduce overall productivity in a community (2023, p. 787). In a similar vein, high levels of social capital stand to reduce innovation if groups are highly insulated and thus cut-off from outside perspectives and information (2023, p. 788).

After presenting the potential downsides of social capital, the authors reflect on the nuanced approach stakeholders should take analyzing the economic costs and benefits of social capital through a spatial lens (Baycan & Oner, 2023, p. 790). Primarily, they emphasize how social capital at the neighborhood scale is not limited to administrative boundaries, nor are its risks. The positive and negative externalities that arise from the presence of social capital in one locality may spillover into neighboring communities (2023, p. 790). They conclude that any meaningful analysis of the effects of social capital should carefully consider the appropriate spatial-scale at which to analyze them (2023, p. 791). Additionally, they caution against the notion that social capital can substitute for regional access, formal institutions, and tangible resources that are absent from rural and underserved communities. While social capital can support economic development in these communities to an extent, the formation of close bonding networks may promote isolation and crowd these institutions and resources out, further perpetuating the rurality (2023, pp. 791-792). Finally, Baycan & Oner (2023, p. 792) challenge the common assumption that the positive aspects of social capital are linear in a given community. That is, even though the implementation of social capital boosting infrastructure may have measured positive economic benefits in a region at one point in time, the effects may

peak or turn negative as social bonds grow stronger (2023, p. 792). Social capital persists in communities for long periods of time, so their benefits should also be analyzed over long periods of time. When designing policy that uses neighborhood social capital as a tool for boosting income mobility, policymakers should take care to not ignore the risks.

Chetty & Hendren (2018a) examine the outcomes of those who move to neighborhoods associated with higher levels of income mobility to show that the neighborhood in which a child grows up has a causal effect on their economic outcomes in adulthood. Then, Chetty & Hendren (2018b) quantify this effect, calculating that if a low-income child grows up in a CZ with one standard deviation better outcomes than another, their expected income rank is 2.65 percentiles higher. Chetty & Hendren (2018b) also parse the common qualities of high mobility neighborhoods, finding that, along with inequality and racial segregation, children's income mobility presents a strong, place-driven relationship with social capital. Intrigued by the potential role of social capital in fueling intergenerational income mobility, Chetty et al. (2022a) explore the relationship between income mobility and different forms of social capital. They conclude that the only form of neighborhood social capital that is statistically associated with intergenerational income mobility is economic connectedness, and the causal effects of place explain this association. Interested in the policy implications of this finding, Chetty et al. (2022b) take the research a step further by constructing counterfactuals to determine the amount of economic disconnection that is explained by differences in *exposure* and differences in *friending bias*. In neighborhoods, they find that *exposure* and *friending bias* differences both contribute to economic disconnection. *Friending bias* is highest in neighborhoods, compared to all other researched settings, but the vast majority of the differences in EC between neighborhoods is explained by *exposure*. They conclude that efforts to reduce *friending bias* and increase

socioeconomic integration within neighborhoods may lend to better outcomes for the children who grow up in them. Conversely, Baycan & Oner (2023) suggest that policies designed to blanketly increase social capital could cause more harm than good due to the downsides and limitations of various forms of social capital. In the same breath, they maintain that stakeholders analyzing the effects of social capital on economic development through a spatial lens should consider the appropriate scale, setting – urban vs. rural –, and continuity of that capital.

In lieu of an extensive discussion pertaining to the undeniable relationship between social capital and income mobility, the restoration of community just might be able to revive the American Dream. One question remains. At the end of the day, can policies force people to care about each other? Reviving the American Dream may have a policy solution, but perhaps such a task requires a greater cultural shift – a shift that can not be facilitated by even the most idealistic legislative agenda. One can dream of a radical meritocracy upheld by its institutions, but those institutions have failed to keep the American Dream alive thus far. Ironically, it may be up to the individual to abandon individualism and its wreckage. It is up to the individual to stop asking how they can help themselves but rather how they can help their neighbor. Now, saying that the dissolution of the American Dream is simply a matter of selfishness is just as reductive as saying success is simply a matter of hard work. However, remaining complacent and relying on failing institutions to do the work of communities will never take the lottery out of birth. The American Dream – the belief that everyone has the equal opportunity to succeed – lets us convince ourselves that we don't owe anything to anyone. Optimism about the American Dream allows us to morally obfuscate from investing in the cohesive communities and social networks that allow people to climb the rungs of the economic ladder. The only way to save the American Dream is to accept that it is dead.

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